# FY2026 Cash Audit · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

| | |
|---|---|
| **Client** | HANGS Construction Services LLC |
| **Period** | Fiscal year ended June 30, 2026; cash at June 30, 2026 |
| **Engagement** | Cash for the year-end audit: the operating and payroll accounts at Cinderbrook Bank, the bank confirmation, both June 30 reconciliations, the items outstanding at the year end, cut-off and restrictions. |
| **Prepared from** | 10 files: the trial balance, the cash ledger, the statements, the two reconciliations, the confirmation request, the bank's confirmation and supplementary reply, its incoming payments report, the June statements and the July cutoff statement |
| **Prepared by** | The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used. |
| **Status** | Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client or the bank. |

## Materiality, Proposed

| | |
|---|---|
| Contract revenue for the year, the benchmark | $68,989,500.00 |
| Materiality: 0.5% of revenue, rounded down | $340,000.00 |
| Performance materiality: 75% | $255,000.00 |
| Clearly trivial: 5% | $17,000.00 |

## What the Procedures Found

| Procedure | What was found | Amount |
|---|---|---|
| **Plan** | Cash agrees across the trial balance, the ledger, the statements and both reconciliations | $5,534,665.71 |
| **Confirm** | The bank confirmed both accounts directly to the audit team (Priscilla Varga) | $5,723,107.14 |
| **Confirm** | The bank confirmed more than the books: the difference to explain (CONF-01) | $188,441.43 |
| **Outstanding** | Eight checks of May and June cleared July 1 to 7 at the amounts written | $170,655.63 |
| **Outstanding** | Check 21561, Sound Waste & Recycling Co., December 18, 2025: never presented, stale (STALE-01) | $21,850.80 |
| **Outstanding** | Payroll account charges never recorded (FEE-01, clearly trivial) | $4,065.00 |
| **Restrictions** | No restricted cash; balances above the FDIC's insurance, no note (DISC-01) | $5,473,107.14 |
| **Reconciliation** | Neither reconciliation is signed as reviewed (REC-01), prepared by Marisol Zielinski | — |

**Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.**

DRAFT FOR THE CPA

# Draft Findings Memo

## Against Materiality

| | |
|---|---|
| FEE-01 Payroll account charges, known, clearly trivial | $4,065.00 |
| **STALE-01 Stale check, classification** | **$21,850.80** |
| Clearly trivial | $17,000.00 |
| Performance materiality | $255,000.00 |
| Materiality | $340,000.00 |

## What was done

The machine recomputed cash from every ledger line and agreed it to the trial balance, the statements and both reconciliations; checked that the bank answered the audit team directly; agreed the confirmed balances to the June statements; matched every June payment; traced every reconciling item to the cutoff statement or the bank's written answer; searched the books for the bank's charges; tested wires, transfers and receipts either side of June 30; and looked for restricted cash and what must be disclosed.

## Proposed adjustments, draft

FEE-01: debit bank charges, credit 1020 payroll cash, $4,065.00 (clearly trivial; the CPA may pass it). STALE-01: void the stale check, debit 1010 operating cash, credit 2000 accounts payable, $21,850.80. Together cash rises $17,785.80. Nothing has been posted.

## What the CPA decides before concluding

1. Whether to record or pass FEE-01. 2. How the stale check is settled with the vendor (STALE-01). 3. Whether the notes need a concentration of credit risk disclosure (DISC-01). 4. The reconciliation review the control walkthroughs also found missing (REC-01).

## What the machine does not do

It does not give an opinion, post an adjustment, sign anything or contact the bank or the client. The CPA concludes; the machine stops here.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Contract Revenue, the Benchmark

# $68,989,500.00

## Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Materiality, Proposed

# $340,000.00

## Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

**Planning!B16 = $340,000.00**

=ROUNDDOWN(B15*B29/10000,0)*10000

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Planning!B29 = 0.500%**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Performance Materiality

# $255,000.00

## Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

**Planning!B17 = $255,000.00**

=ROUND(B16*0.75,2)

**Planning!B16 = $340,000.00**

=ROUNDDOWN(B15*B29/10000,0)*10000

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Planning!B29 = 0.500%**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Materiality · Clearly Trivial

# $17,000.00

## Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

**Planning!B18 = $17,000.00**

=ROUND(B16*0.05,2)

**Planning!B16 = $340,000.00**

=ROUNDDOWN(B15*B29/10000,0)*10000

**Planning!B15 = $68,989,500.00**

=B9

**Planning!B9 = $68,989,500.00**

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

**E01 Trial Balance!D35 = ($68,928,250.00)**

**E01 Trial Balance!D36 = ($61,250.00)**

**Planning!B29 = 0.500%**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Plan · Cash, Both Accounts, Recomputed

# $5,534,665.71

## Workbook: Cash Tie!D11

Draft figure · the CPA reviews and concludes

**Cash Tie!D11 = $5,534,665.71**

=B11+C11

**Cash Tie!B11 = $5,361,685.31**

=B8+B9-B10

**Cash Tie!B8 = $5,643,355.76**

='E02 Cash Ledger'!H8

**E02 Cash Ledger!H8 = $5,643,355.76**

**Cash Tie!B9 = $75,264,936.74**

='E02 Cash Ledger'!F619

**E02 Cash Ledger!F619 = $75,264,936.74**

**Cash Tie!B10 = $75,546,607.19**

='E02 Cash Ledger'!G619

**E02 Cash Ledger!G619 = $75,546,607.19**

**Cash Tie!C11 = $172,980.40**

=C8+C9-C10

**Cash Tie!C8 = $151,220.30**

='E02 1020 Payroll Cash'!H8

**E02 1020 Payroll Cash!H8 = $151,220.30**

**Cash Tie!C9 = $8,066,437.26**

='E02 1020 Payroll Cash'!F63

**E02 1020 Payroll Cash!F63 = $8,066,437.26**

**Cash Tie!C10 = $8,044,677.16**

='E02 1020 Payroll Cash'!G63

**E02 1020 Payroll Cash!G63 = $8,044,677.16**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/FY2026 cash ledger, accounts 1010 and 1020.xlsx · 1010 Operating cash!H8, 1010 Operating cash!F619, 1010 Operating cash!G619, 1020 Payroll cash!H8, 1020 Payroll cash!F63, 1020 Payroll cash!G63

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Confirm · Confirmed by the Bank

# $5,723,107.14

## Workbook: Confirmation!D9

Draft figure · the CPA reviews and concludes

**Confirmation!D9 = $5,723,107.14**

=B9+C9

**Confirmation!B9 = $5,554,191.74**

='E06 Confirmation'!B13

**E06 Confirmation!B13 = $5,554,191.74**

**Confirmation!C9 = $168,915.40**

='E06 Confirmation'!B15

**E06 Confirmation!B15 = $168,915.40**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; the balance of each deposit account and loan, the accrued interest and the signature

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Confirm · Confirmation Difference (CONF-01)

# $188,441.43

## Workbook: Confirmation!D10

Draft figure · the CPA reviews and concludes

**Confirmation!D10 = $188,441.43**

=D9-D8

**Confirmation!D9 = $5,723,107.14**

=B9+C9

**Confirmation!B9 = $5,554,191.74**

='E06 Confirmation'!B13

**E06 Confirmation!B13 = $5,554,191.74**

**Confirmation!C9 = $168,915.40**

='E06 Confirmation'!B15

**E06 Confirmation!B15 = $168,915.40**

**Confirmation!D8 = $5,534,665.71**

=B8+C8

**Confirmation!B8 = $5,361,685.31**

='E05 Request'!B12

**E05 Request!B12 = $5,361,685.31**

**Confirmation!C8 = $172,980.40**

='E05 Request'!B13

**E05 Request!B13 = $172,980.40**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; the balance of each deposit account and loan, the accrued interest and the signature

02 Confirmations/Bank confirmation request.pdf · PDF page 1; the accounts, the balances per the customer, the questions asked and the customer’s authorization

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Outstanding · Checks Cleared July 1 to 7

# $170,655.63

## Workbook: Outstanding Items!C17

Draft figure · the CPA reviews and concludes

**Outstanding Items!C17 = $170,655.63**

=SUM(C8:C15)

**Outstanding Items!C8 = $14,177.69**

='E10 Cutoff Statement'!B11

**E10 Cutoff Statement!B11 = $14,177.69**

**Outstanding Items!C9 = $34,026.45**

='E10 Cutoff Statement'!B18

**E10 Cutoff Statement!B18 = $34,026.45**

**Outstanding Items!C10 = $23,393.18**

='E10 Cutoff Statement'!B19

**E10 Cutoff Statement!B19 = $23,393.18**

**Outstanding Items!C11 = $7,867.66**

='E10 Cutoff Statement'!B12

**E10 Cutoff Statement!B12 = $7,867.66**

**Outstanding Items!C12 = $32,000.00**

='E10 Cutoff Statement'!B20

**E10 Cutoff Statement!B20 = $32,000.00**

**Outstanding Items!C13 = $21,776.92**

='E10 Cutoff Statement'!B21

**E10 Cutoff Statement!B21 = $21,776.92**

**Outstanding Items!C14 = $5,476.07**

='E10 Cutoff Statement'!B22

**E10 Cutoff Statement!B22 = $5,476.07**

**Outstanding Items!C15 = $31,937.66**

='E10 Cutoff Statement'!B23

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

03 Bank Statements/July 1 to 8 2026 cutoff statement.pdf · PDF pages 1-2; the July 1 to 8, 2026 cutoff statement of both accounts, sent by the bank directly

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Outstanding · Stale Check (STALE-01)

# $21,850.80

## Workbook: Outstanding Items!B18

Draft figure · the CPA reviews and concludes

**Outstanding Items!B18 = $21,850.80**

=-'E04 Reconciliations'!E17

**E04 Reconciliations!E17 = ($21,850.80)**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

01 Client Accounting/June 2026 bank reconciliations.xlsx · Operating 4471!E17

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Outstanding · Payroll Account Charges Never Recorded (FEE-01)

# $4,065.00

## Workbook: Outstanding Items!B33

Draft figure · the CPA reviews and concludes

**Outstanding Items!B33 = $4,065.00**
=SUM(B21:B32)

**Outstanding Items!B21 = $315.00**
='E07 Supplementary Reply'!B10

**E07 Supplementary Reply!B10 = $315.00**

**Outstanding Items!B22 = $315.00**
='E07 Supplementary Reply'!B11

**E07 Supplementary Reply!B11 = $315.00**

**Outstanding Items!B23 = $315.00**
='E07 Supplementary Reply'!B12

**E07 Supplementary Reply!B12 = $315.00**

**Outstanding Items!B24 = $410.00**
='E07 Supplementary Reply'!B13

**E07 Supplementary Reply!B13 = $410.00**

**Outstanding Items!B25 = $315.00**
='E07 Supplementary Reply'!B14

**E07 Supplementary Reply!B14 = $315.00**

**Outstanding Items!B26 = $315.00**
='E07 Supplementary Reply'!B15

**E07 Supplementary Reply!B15 = $315.00**

**Outstanding Items!B27 = $315.00**
='E07 Supplementary Reply'!B16

**E07 Supplementary Reply!B16 = $315.00**

**Outstanding Items!B28 = $315.00**
='E07 Supplementary Reply'!B17

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

02 Confirmations/Cinderbrook Bank supplementary reply.pdf · PDF page 1; service charges, check 21561, stale checks, holds, liens, set-off and compensating balances

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

# Restrictions · Above FDIC Insurance (DISC-01)

# $5,473,107.14

## Workbook: Cut-Off!B30

Draft figure · the CPA reviews and concludes

**Cut-Off!B30 = $5,473,107.14**

=B28-B29

**Cut-Off!B28 = $5,723,107.14**

='Confirmation'!D9

**Confirmation!D9 = $5,723,107.14**

=B9+C9

**Confirmation!B9 = $5,554,191.74**

='E06 Confirmation'!B13

**E06 Confirmation!B13 = $5,554,191.74**

**Confirmation!C9 = $168,915.40**

='E06 Confirmation'!B15

**E06 Confirmation!B15 = $168,915.40**

**Cut-Off!B29 = $250,000.00**

**Source files and cells (the full formula chain is in the workbook and on the review screen):**

02 Confirmations/Cinderbrook Bank confirmation.pdf · PDF page 1; the balance of each deposit account and loan, the accrued interest and the signature

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# WHAT STILL NEEDS A PERSON

FEE-01 · $4,065.00: The bank's 12 monthly charges on the payroll account ending 6158, $4,065.00 for FY2026, were never recorded. Payroll cash is overstated and expenses understated by $4,065.00. Proposed adjustment: debit a bank charges expense, credit 1020 payroll cash. It is under the $17,000.00 clearly trivial, so it is listed and not added up; the CPA may pass it. The bank feed should post the charges each month. The machine never posts.

STALE-01 · $21,850.80: Check 21561, $21,850.80, to Sound Waste & Recycling Co. for invoice SWR-2511-1294 of December 18, 2025, has never been presented and was 194 days old at June 30, past the bank's 180-day limit. The vendor has not been paid, yet the books count the invoice as paid. Ask the Controller to contact the vendor and reissue it or void it with a stop payment. If voided: debit 1010 operating cash, credit 2000 accounts payable (or an unclaimed property liability). Above clearly trivial; a classification with no effect on income.

CONF-01 · $188,441.43: The bank confirmed $5,723,107.14; the request showed the books' $5,534,665.71. The $188,441.43 difference is explained in full: 8 checks that cleared July 1 to 7 ($170,655.63), plus check 21561 ($21,850.80), less the payroll account charges ($4,065.00). No adjustment beyond FEE-01 and STALE-01. The CPA accepts the explanation or asks for more.

REC-01: Both June 30 reconciliations were prepared by Marisol Zielinski, Project Accountant, on July 12, 2026 and foot, but neither is signed as reviewed: the control walkthroughs' REC-01 (CLS-2). The charges sat on the payroll reconciliation all year and the December check went unfollowed. Recommendation: the Controller signs each reconciliation within 15 days and follows up any item older than 60 days.

DISC-01 · $5,473,107.14: All of the company's cash, $5,723,107.14 per the bank, is at one bank, Cinderbrook Bank; $5,473,107.14 is above the FDIC's $250,000.00 insurance. The draft notes have no concentration of credit risk note. Disclosure is a judgment for the CPA. No cash is restricted, pledged or held back, and the loans require no compensating balance.

XREF-01 · $28,665.00: The bank confirms interest accrued June 1 to 30, 2026 of $17,040.00 (term loan ending 2208) and $11,625.00 (line ending 3315), paid through May 31 and debited July 1. The books record interest when debited: the liabilities search's UL-04 and the covenant procedures' INT-01. Not counted again here.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of revenue; performance materiality $255,000.00; clearly trivial $17,000.00. The engagement partner sets it.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been posted, signed or sent to the client or the bank.

**This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.**

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